

An irrevocable trust prevents the grantor from taking back the assets once transferred into the trust. This is a recognized gift for tax purposes and long-term care purposes, although the transfer would have to be made well before applying for government assistance (generally five years) in order to qualify for Medicaid.

A well-drafted trust should protect the assets transferred into it from the named beneficiary's creditors and potential future ex-spouse, in addition to bypassing the legal process of probate. It might also come in handy if the grantor designates a successor trustee in the event that the grantor loses his or her mental capacity.